Exista - Bakkabraedur Group (Kaupthing Luxembourg)

KAUPTHING BANK

Exposure	Loans 128.72 Unused 0.00 Equity n/a Bonds n/a Derivat. 0.01 **Total 128.73**	The Bakkabraedur Group is owned and controlled by Agust and Lydur Gudmundsson, who are the founders of the Icelandic listed company Bakkavor Group hf. and the largest shareholders of Exista hf. (with regard to Exista sub group please refer to separate report). Substantial part of the exposure is aligned to the group's investment companies; beside that KBLUX established in favour of: 1. Barello Global S.A. - GBP 12.75mn property financing in UK 2. Jukebox L.P. - USD 23mn aircraft financing 3. Agust Gudmundsson - EUR 7.5mn + EUR 1.4mn property financing in France
Collateral & Guarantees	1.Personal guarantee L. Gudmundsson 2.First priority mortgage on aircraft (market value USD 28.5mn/LTV c.80%) 3.Undertaking to establish mortgages on the properties	There are no direct pledges between the different investment companies and some of the facilities are neither secured by personal guarantee nor by any other assets qualifying on the standard terms and conditions of KBLUX. Taking the lack of gross guarantee into account real short position amounts to EUR 43.67mn. Securities portfolio of the group is widely spread with the major parts being the shares held in Exista (EUR 371.4mn) and Bakkavor Group (EUR 63.5mn, market values).
Financial Performance	Financial situation of Exista sub group is outlined in the report attached.	Credit Rating: no rating Due to changed framework regulations regarding the UK linked operations (which require domestic payment sources for servicing debt), the group structure needs to be partly reorganised.
Risk Factors	The performance of the group might be affected by an ongoing adverse market environment, as the majority exposure of the group is linked to the investment business.	